

- 1. When total supply is equal to total demand in a transportation problem, the problem is said to be**
- a. Degenerate**
 - b. Unbalanced**
 - c. None of the above**
 - d. Balanced**

The correct answer is: d. Balanced

A transportation problem is said to be balanced when the total supply is equal to the total demand. This means that the total amount of goods that are available to be shipped is equal to the total amount of goods that are needed at the destinations. A balanced transportation problem is easier to solve than an unbalanced transportation problem, because there is no need to artificially create or destroy demand or supply.

- 2. Which one of the following is a capacity utilization option in the short-range planning?**
- a. Scheduling jobs**
 - b. Build inventory**
 - c. Subcontract**
 - d. Acquire facilities**

The correct answer is: a. Scheduling jobs.

Capacity utilization is the percentage of a company's productive resources that are being used. In short-range planning, capacity utilization is often increased by scheduling jobs more efficiently. This can be done by using techniques such as overtime, job sequencing, and line balancing.

Building inventory is a long-range planning option, not a short-range planning option. Subcontracting and acquiring facilities are also long-range planning options.

- 3. Which one of the following is critical in model building and problem-solving process?**
- a. Evaluate the alternatives**
 - b. Determine the set of alternatives**
 - c. Choose an alternative**
 - d. Identify and define the problem**

The correct answer is: d. Identify and define the problem.

Identifying and defining the problem is the most critical step in the model building and problem-solving process. If the problem is not properly defined, then the model will not be able to accurately represent the problem and the solution will not be effective.

The other steps in the model building and problem-solving process are:

- Determine the set of alternatives: Once the problem has been defined, the next step is to determine the set of alternatives that are available to solve the problem.
- Evaluate the alternatives: Once the set of alternatives has been determined, the next step is to evaluate each alternative and determine which one is the best solution to the problem.
- Choose an alternative: The final step in the model building and problem-solving process is to choose the best alternative and implement it.

4. Any complete group of entities that share some common set of characteristics is;

- a. Population**
- b. Sample**
- c. Census**
- d. Population element**

The correct answer is: a. Population.

A population is any complete group of entities that share some common set of characteristics. For example, the population of a country is the group of all people who live in that country. The population of a school is the group of all students who attend that school.

A sample is a subset of a population. A census is a survey of the entire population. A population element is an individual member of a population.

5. The trait theory states that leaders have certain innate traits that enable them to lead. Identify the wrong trait,

- a. Assertiveness**
- b. Illiterate**
- c. Persistence**
- d. Dependability**

The correct answer is: b. Illiterate.

Illiteracy is the inability to read or write. It is not a trait that is associated with leadership. In fact, illiteracy can be a barrier to leadership, as it can make it difficult for leaders to communicate with their followers and to access information.

The other traits listed are all associated with leadership. Assertiveness is the ability to stand up for oneself and to express one's opinions in a clear and direct way. Persistence is the ability to keep going even in the face of challenges. Dependability is the ability to be counted on to do what one says one will do.

6. Project ideas could come from individuals and institutions in the society that include all of the following except:

- a. None of the above**
- b. Customers**
- c. Aid and development agencies**
- d. Public and private organizations**

The correct answer is: a. None of the above.

Project ideas can come from individuals and institutions in the society, including customers, aid and development agencies, public and private organizations.

Customers can provide valuable insights into what they need and want, which can help businesses develop new products and services. Aid and development agencies can provide funding and support for projects that address social and economic development challenges. Public and private organizations can also provide funding and support for projects that align with their mission and goals.

In addition to these sources, project ideas can also come from personal experiences, observations, and research.

7. Select the research approach that focused on understanding a research phenomenon

- a. Qualitative**
- b. Applied**
- c. Basic**
- d. Quantitative**

The correct answer is: a. Qualitative.

Qualitative research is a research approach that focuses on understanding the meaning of social phenomena. It is often used in the social sciences, humanities, and education. Qualitative research methods include interviews, focus groups, and observation.

Quantitative research is a research approach that focuses on measuring and quantifying social phenomena. It is often used in the natural sciences, engineering, and business. Quantitative research methods include surveys, experiments, and secondary data analysis.

Applied research is a research approach that focuses on solving practical problems. It is often used in business, government, and the nonprofit sector. Applied research methods include surveys, experiments, and case studies.

Basic research is a research approach that focuses on understanding the fundamental

nature of things. It is often used in the natural sciences, engineering, and mathematics. Basic research methods include experiments, surveys, and observation.

In conclusion, the research approach that focused on understanding a research phenomenon is qualitative research.

8. The common causes of job stress affecting employees includes all except;

a. Role conflict

b. Information anxiety

c. Occupational demands d. d. Pay raise

The correct answer is: d. Pay raise.

Job stress is a common problem that can affect employees in all types of jobs. It is caused by a variety of factors, including role conflict, information anxiety, occupational demands, and interpersonal conflict.

Role conflict occurs when an employee has conflicting responsibilities or expectations from their job. This can lead to feelings of frustration, anxiety, and stress.

Information anxiety is the feeling of being overwhelmed by the amount of information available. This can make it difficult to focus on tasks and can lead to feelings of stress and anxiety.

Occupational demands are the physical and mental demands of a job. These can include things like long hours, heavy lifting, and exposure to dangerous chemicals. Occupational demands can lead to physical and mental health problems, including job stress.

Interpersonal conflict is conflict between employees or between employees and their managers. This can lead to feelings of anger, frustration, and stress.

Pay raise is not a common cause of job stress. In fact, a pay raise can actually reduce job stress by improving employee morale and satisfaction.

Other common causes of job stress include:

- Lack of control over work
- Lack of support from management
- Poor working conditions
- Lack of job security
- Work-life balance issues

If you are experiencing job stress, there are a number of things you can do to cope,

including:

- Talk to your manager about your concerns
- Take breaks when you need them
- Exercise regularly
- Get enough sleep
- Eat a healthy diet
- Practice relaxation techniques, such as yoga or meditation

If you are unable to cope with job stress on your own, you may want to seek professional help from a therapist or counselor.

9. Which of the following are not the main tools used in data mining?

- a. Decision trees**
- b. Neural networks**
- c. None of the above**
- d. Rule induction**

The correct answer is: c. None of the above.

Decision trees, neural networks, and rule induction are all main tools used in data mining.

Decision trees are a type of supervised learning algorithm that can be used to classify or predict data. They work by splitting the data into smaller and smaller subsets until each subset contains only one class of data.

Neural networks are a type of machine learning algorithm that can be used to learn complex patterns in data. They work by simulating the way that neurons in the human brain work.

Rule induction is a type of machine learning algorithm that can be used to generate rules from data. These rules can then be used to make predictions about new data.

Other main tools used in data mining include:

- Association rule mining: This is a technique for finding associations between items in a data set.
- Clustering: This is a technique for grouping data points together based on their similarity.
- Regression: This is a technique for finding a relationship between a dependent variable and one or more independent variables.
- Dimensionality reduction: This is a technique for reducing the number of features in a data set.

Data mining is a process of discovering patterns in data. It is used in a variety of fields, including business, finance, healthcare, and marketing.

10. When a beer bottling filling machine breaks a bottle, the machine must be shutdown, while the broken glass is removed. The production manager at Dasher Brewery has been using a Poisson distribution with $\lambda = 3$ shutdowns per day on average to determine the probability of 0, 1, 2, 3, n shutdowns per day in a random sample of 120 operation days. Using $\alpha = 0.05$, and $P(0) = 0.0498$; what is the expected frequency of $x = 0$ shutdowns?

- a. 5.976
- b. 3.867
- c. 40
- d. 3.435

The correct answer is: a. 5.976.

1. The expected frequency of $x = 0$ shutdowns is the product of the probability of $x = 0$ shutdowns and the sample size. In other words, $E(0) = P(0) * n$.
2. You are given $P(0) = 0.0498$ and $n = 120$. Plug these values into the formula and simplify.
3. $E(0) = 0.0498 * 120 = 5.976$
4. The answer is a. 5.976

The expected frequency of $x = 0$ shutdowns can be calculated by multiplying the probability of 0 shutdowns by the total number of operation days. In this case, the expected frequency would be $0.0498 * 120 = 5.976$. So, the correct answer is a. 5.976.

11. Companies will actively promote Knowledge Management (KM) when;

- a. All of the above**
- b. Teamwork through electronic collaboration is commonplace within the company**
- c. The business benefits of KM are obvious to executives**
- d. corporate computing infrastructure and transaction application systems are in good shape**

The correct answer is: a. All of the above.

Knowledge management (KM) is a process of creating, capturing, sharing, and using knowledge to improve organizational performance. It is a strategic initiative that can help companies to achieve their goals by making better use of the knowledge that they have.

There are a number of reasons why companies should promote KM. First, KM can help to improve decision-making by providing employees with access to the information they need to make better decisions. Second, KM can help to improve innovation by encouraging employees to share ideas and collaborate on projects. Third, KM can help to improve customer service by providing employees with the knowledge they need to provide better service to customers.

In order to be successful, KM must be supported by top management. Executives must understand the benefits of KM and be willing to invest in the resources necessary to make it successful. KM must also be embedded in the company's culture. Employees must be encouraged to share knowledge and collaborate on projects.

Teamwork through electronic collaboration is a key component of KM. It allows employees to share knowledge and collaborate on projects regardless of their location. Corporate computing infrastructure and transaction application systems are also important for KM. They provide the foundation for storing, managing, and sharing knowledge.

In conclusion, companies will actively promote KM when all of the above are in place.

12. Which of the following has the least influence on political orientation of organizations?

- a. Organizational change**
- b. Abundance of resources**
- c. Ambiguous goals**
- d. Technology and environment**

The correct answer is: c. Ambiguous goals.

Organizational change, abundance of resources, and technology and environment are all factors that can influence the political orientation of organizations. However, ambiguous goals are less likely to have a significant impact on an organization's political orientation.

Ambiguous goals are goals that are unclear or difficult to define. They can be difficult to measure and evaluate, and they can make it difficult for employees to understand what they are supposed to be doing. Ambiguous goals can also lead to conflict and confusion within an organization.

While ambiguous goals can have a negative impact on an organization's performance, they are not likely to have a significant impact on its political orientation. This is because political orientation is a more fundamental aspect of an organization's culture. It is shaped by the organization's history, its values, and its leadership. Ambiguous goals are not likely to change these fundamental aspects of an organization.

In contrast, organizational change, abundance of resources, and technology and environment are all factors that can have a significant impact on an organization's political orientation. Organizational change can lead to changes in the organization's goals, its structure, and its culture. Abundance of resources can give an organization the power to influence its environment. Technology and environment can create new opportunities and threats for an organization. All of these factors can lead to changes in an organization's political orientation.

13. Identify the one which is an extrinsic factor,
- a. Recognition
 - b. Achievement
 - c. Work itself
 - d. Company policy

The correct answer is: d. Company policy.

Extrinsic factors are factors that are external to the individual and that are not directly related to the work itself. They include factors such as pay, benefits, job security, and company policy.

Recognition, achievement, and work itself are all intrinsic factors. Intrinsic factors are factors that are internal to the individual and that are directly related to the work itself. They include factors such as job satisfaction, autonomy, and challenge.

Company policy is an extrinsic factor because it is a rule or guideline that is set by the company. It is not directly related to the work itself, and it is not something that the individual has control over.

In contrast, recognition, achievement, and work itself are all intrinsic factors because they are related to the individual's satisfaction with the work itself. They are also factors that the individual has some control over.

- 14. Which one of the following best describes the main purpose of background of the study?**
- a. It provides summarized information about the phenomenon under investigation**
 - b. It indicates the major limitation of the current study**
 - c. It clearly indicates the objective of the study**
 - d. It justifies the need to conduct the study**

The correct answer is: d. It justifies the need to conduct the study.

The background of the study is a section of a research paper that provides information about the problem or issue that the study is addressing. It also provides information about the research that has been done on the problem or issue. The purpose of the

background of the study is to justify the need to conduct the study.

The background of the study should be well-written and should provide a clear and concise overview of the problem or issue that the study is addressing. It should also provide information about the research that has been done on the problem or issue. This information will help the reader to understand the need for the study and to evaluate the findings of the study.

15. A rating error characterized by the tendency to generalize one positive or negative aspect of a person to the person's entire performance is,

- a. Error of central tendency**
- b. Recency error**
- c. Contrast error**
- d. Halo effect**

The correct answer is: d. Halo effect.

The halo effect is a cognitive bias in which our overall impression of a person influences how we feel and think about their character. It can lead us to overestimate their positive qualities and underestimate their negative qualities.

The halo effect is often seen in performance reviews. For example, if a manager has a positive impression of an employee, they may be more likely to give them a high rating, even if their performance is not actually that good. Conversely, if a manager has a negative impression of an employee, they may be more likely to give them a low rating, even if their performance is actually good.

The halo effect can be a problem because it can lead to unfair evaluations of people's performance. It is important to be aware of the halo effect and to try to avoid letting it influence our judgments of others.

The other options are not correct because they do not describe the tendency to generalize one positive or negative aspect of a person to the person's entire performance.

- Error of central tendency is the tendency to rate people or things in the middle of the scale, even when they are clearly above or below average.
- Recency error is the tendency to give more weight to recent information than to earlier information.
- Contrast error is the tendency to judge someone or something in comparison to someone or something else that was seen or experienced just before.

16. Mr. Bekalu is unable to perform his job according to his job description. His immediate boss tried all the options and finally Mr. Bekalu himself submitted a resignation letter before his boss takes any further measures. The kind of separation

observed in the case is;

- a. Involuntary separation**
- b. Voluntary separation**
- c. Transferring him to other department**
- d. Firing of Mr. Bekalu**

The correct answer is: b. Voluntary separation.

Voluntary separation is when an employee leaves their job of their own accord. This can happen for a variety of reasons, such as finding a new job, retiring, or taking care of a family member.

Involuntary separation is when an employee is fired or laid off from their job. This can happen for a variety of reasons, such as poor performance, downsizing, or a change in the company's business.

In this case, Mr. Bekalu voluntarily separated from his job by submitting his resignation letter. His boss did not fire him or lay him off.

17. Which one is false about a test statistic?

- a. None**
- b. It is used to decide whether to accept or reject the null hypothesis**
- c. It is computed from the population**
- d. It is a value computed using sample information**

The correct answer is: c. It is computed from the population.

A test statistic is a value computed using sample information. It is used to decide whether to accept or reject the null hypothesis.

The null hypothesis is a statement about the population that is being tested. The alternative hypothesis is the statement that is being tested against the null hypothesis.

The test statistic is computed using the sample data and the null hypothesis. The test statistic is then compared to a critical value. The critical value is a value that is used to determine whether to reject the null hypothesis.

If the test statistic is greater than or equal to the critical value, then the null hypothesis is rejected. If the test statistic is less than the critical value, then the null hypothesis is not rejected.

The test statistic is a value that is used to make a decision about the null hypothesis. It is not computed from the population.

18. Identify the incorrect statement about employee separation,

- a. Decreased innovation**
- b. Allows fresh mind to get in**
- c. Replacement of poor performers**
- d. Greater diversity**

The incorrect statement about employee separation is:

Decreased innovation

Employee separation can lead to increased innovation in a number of ways. First, it can allow new employees with fresh ideas to join the company. Second, it can force the company to rethink its processes and procedures, which can lead to new and innovative ideas. Third, it can create a sense of urgency among employees, which can also lead to innovation.

Employee separation can also lead to decreased innovation, but this is not always the case. If the company does not properly manage the separation process, it can create a negative atmosphere that stifles innovation. Additionally, if the company does not replace the departing employees with qualified individuals, it can lose valuable knowledge and experience.

Overall, employee separation can have a positive or negative impact on innovation, depending on how the company manages the process.

19. In Ethiopia, if enterprise's investment in plant and machinery does not exceed birr 100,000 and operates with 5 people including the owner, it is denoted as;

- a. Medium enterprise**
- b. Small enterprise**
- c. Micro-small enterprise**
- d. Micro enterprise**

The correct answer is: d. Micro enterprise.

According to the Ethiopian Micro and Small Enterprise Development Agency (SMEsDA), a micro enterprise is an enterprise that has an investment in plant and machinery of less than Birr 100,000 and employs up to 10 people, including the owner.

A small enterprise is an enterprise that has an investment in plant and machinery of Birr 100,001 to Birr 1 million and employs 11 to 50 people, including the owner.

A medium enterprise is an enterprise that has an investment in plant and machinery of Birr 1 million and above and employs 51 to 300 people, including the owner.

Therefore, if an enterprise's investment in plant and machinery does not exceed Birr

100,000 and operates with 5 people including the owner, it is denoted as a micro enterprise.

20. Samrawit is a marketing manager in one of the car manufacturing company. She wanted to categorize buyers into segments based on their knowledge, attitudes, uses, or responses to the car model her company offer. The basis of segmentation Samrawit use is;

- a. Income**
- b. Geographic**
- c. Psychographic**
- d. Behavioral**

The correct answer is: d. Behavioral.

Behavioral segmentation is a type of market segmentation that divides customers into groups based on their past behavior, current behavior, or intended behavior.

In this case, Samrawit is interested in categorizing buyers based on their knowledge, attitudes, uses, or responses to the car model her company offers. This is an example of behavioral segmentation because it is based on how buyers have behaved in the past or how they are likely to behave in the future.

Other types of segmentation include:

- Demographic segmentation: This type of segmentation divides customers into groups based on their age, gender, income, education, and other demographic characteristics.
- Geographic segmentation: This type of segmentation divides customers into groups based on their location, such as country, region, or city.
- Psychographic segmentation: This type of segmentation divides customers into groups based on their personality, lifestyle, and values.

Behavioral segmentation is often used by companies that want to target their marketing efforts more effectively. By understanding how buyers have behaved in the past or how they are likely to behave in the future, companies can develop marketing campaigns that are more likely to resonate with their target audience.

21. Identify the wrong statement about policy, goal, and objectives,

- a. Policies are the means by which annual objectives will be achieved**
- b. Policies are guides to decision making and address recurring situations**
- c. A goal is broader than an objective**
- d. Annual objectives do not help in allocating resources**

The correct answer is: Annual objectives do not help in allocating resources.

Policies are guidelines that help organizations make decisions and take action. They are typically broad in scope and apply to a wide range of situations. Objectives, on the other hand, are specific, measurable, achievable, relevant, and time-bound goals that organizations set to achieve their policies. Annual objectives are a type of objective that is set for a one-year period. They are typically used to allocate resources and track progress towards achieving long-term goals.

Therefore, the statement "Annual objectives do not help in allocating resources" is incorrect.

22 The performance of business activities designed to plan, price, promote, and direct the flow of a company's goods and services to consumers or users in more than one nation for a profit is best termed as

- a. International operation
- b. International promotion mix
- c. International marketing
- d. International marketing mix

The correct answer is: International marketing.

International marketing is the performance of business activities designed to plan, price, promote, and direct the flow of a company's goods and services to consumers or users in more than one nation for a profit. It is a subset of international business.

International marketing is important because it allows companies to expand their reach and increase their sales. It can also help companies to learn about new markets and develop new products and services.

There are a number of challenges associated with international marketing, including cultural differences, language barriers, and government regulations. However, the rewards of international marketing can be significant.

International marketing is a complex and challenging field, but it can be very rewarding for companies that are willing to put in the effort.

23 To minimization dissatisfaction of stakeholders in estimating cost and resources, project manager is required to follow appropriate steps. Which of the following are steps in estimating cost and time?

- a. Define project requirements
- b. All of the above
- c. Make estimate
- d. Decompose requirement into a work-breakdown structure

The correct answer is: All of the above.

To minimize dissatisfaction of stakeholders in estimating cost and resources, a project manager is required to follow appropriate steps. These steps include:

1. Define project requirements. This includes identifying the scope of the project, the deliverables, and the success criteria.
2. Decompose requirements into a work-breakdown structure (WBS). This is a hierarchical decomposition of the project into smaller, more manageable tasks.
3. Estimate cost and time for each task. This can be done using a variety of methods, such as expert judgment, historical data, or analogy.
4. Develop a project schedule. This includes identifying the start and finish dates for each task, as well as the dependencies between tasks.
5. Monitor and control the project. This includes tracking progress, identifying and addressing risks, and making adjustments to the plan as needed.

By following these steps, project managers can minimize the risk of underestimating costs and time, which can lead to dissatisfaction among stakeholders.

24 What is the future value of a 7%, 5-year ordinary annuity that pays \$300 each year?
a. \$1,260 b. \$ 1050 c. \$ 1020 d. \$1,725.22

The correct answer is: \$1,725.22.

The future value of an annuity is the total amount of money that will be paid out over the life of the annuity, including both the principal and interest. To calculate the future value of an annuity, you need to know the following:

- The amount of each payment (\$300)
- The number of payments (5)
- The interest rate (7%)

You can use the following formula to calculate the future value of an annuity:

$$FV = PMT \left(\frac{1 - (1 + r)^{-n}}{r} \right)$$

where:

- FV is the future value of the annuity
- PMT is the amount of each payment
- r is the interest rate
- n is the number of payments

In this case, we have:

- $\text{\$PMT} = \text{\$300}$
- $\text{\$r} = 7\%$
- $\text{\$n} = 5$

Substituting these values into the formula, we get:

$$\text{\$FV} = \text{\$300} \left(\frac{1 - (1 + 0.07)^{-5}}{0.07} \right) = \text{\$1,725.22}$$

Therefore, the future value of a 7%, 5-year ordinary annuity that pays \$300 each year is \$1,725.22.

25 Which of the following are common reasons for failure of most change initiatives?

- Participation of employees**
- External imposition**
- Proper training**
- Clear objectives**

The common reason for failure of most change initiatives among the options given is b. External imposition. Change initiatives often fail when they are imposed from the outside, without taking into account the needs and concerns of the employees who will be affected by the change. Participation of employees, proper training, and clear objectives are all factors that can contribute to the success of a change initiative, rather than its failure.

26 A pricing strategy based on buyers' perceptions of value rather than on the seller's cost is;

- Cost-based pricing**
- Good-Value Pricing**
- Customer value-based pricing**
- Value-added pricing**

The correct answer is: c. Customer value-based pricing.

Customer value-based pricing is a pricing strategy that sets prices based on the perceived value of the product or service to the customer. This is in contrast to cost-based pricing, which sets prices based on the cost of producing the product or service.

Customer value-based pricing is often used for products or services that are difficult to compare, such as luxury goods or professional services. It can also be used for products or services that have a high perceived value, such as new technologies or

innovative products.

To use customer value-based pricing, you need to understand the value that your product or service provides to your customers. You can do this by conducting market research or by talking to your customers directly. Once you understand the value that your product or service provides, you can set prices that reflect that value.

Customer value-based pricing can be a very effective pricing strategy, but it is important to use it carefully. If you set prices too high, you may not be able to sell your product or service. If you set prices too low, you may not be making enough profit.

It is important to find a balance between the value that your product or service provides and the price that you charge. By doing so, you can use customer value-based pricing to maximize your profits.

- 27 Bargaining power of suppliers decrease when,**
- a. Suppliers' products create high switching costs**
 - b. Buyers are large and suppliers are few in number**
 - c. Suppliers hold uniquely critical material for the buyer**
 - d. Buyers' switching costs are high**

The correct answer is: b. Buyers are large and suppliers are few in number.

When buyers are large and suppliers are few in number, the buyers have more bargaining power. This is because the buyers have more options to choose from, and they can therefore negotiate better prices from the suppliers.

On the other hand, when suppliers are large and buyers are few in number, the suppliers have more bargaining power. This is because the suppliers have fewer options to choose from, and they can therefore charge higher prices to the buyers.

The other options are not correct because they do not necessarily decrease the bargaining power of suppliers. For example, if suppliers' products create high switching costs, this may actually increase the bargaining power of suppliers, as buyers may be less likely to switch to a different supplier.

- 28 Which level of diversity leads employees to perceive one another through stereotypes and assumptions?**
- a. Personality and values**
 - b. Surface-level diversity**
 - c. Intermediate**
 - d. Deep-level diversity**

The correct answer is: b. Surface-level diversity.

Surface-level diversity refers to the visible characteristics of individuals, such as their age, race, gender, and ethnicity. These characteristics are often used to make quick judgments about others, and they can lead to stereotypes and assumptions.

For example, people may assume that older employees are more experienced and knowledgeable than younger employees. They may also assume that women are less assertive than men, or that people of color are less intelligent than white people.

These stereotypes can have a negative impact on the workplace. They can lead to discrimination, prejudice, and conflict. They can also make it difficult for employees to feel valued and respected.

It is important to be aware of the potential negative effects of surface-level diversity. We should strive to make judgments about others based on their individual qualities, rather than on their visible characteristics.

29 Which one of the following is not the characteristic of parametric test?

- a. The measurement scales should be at least nominal**
- b. The data cases selected for the sample should be independent**
- c. The populations from which the data cases are drawn should have equal variances**
- d. The data cases should be drawn from normally distributed populations**

The correct answer is: a. The measurement scales should be at least nominal.

Parametric tests are statistical tests that make assumptions about the distribution of the data. These assumptions include the normality of the data, the independence of the data, and the equality of the variances of the data.

Nominal scales are the weakest type of measurement scale. They only allow you to classify data into categories. For example, you could use a nominal scale to classify people by their gender (male or female).

Parametric tests are not appropriate for data that is measured on a nominal scale. This is because the assumptions of parametric tests are not met for nominal data.

The other options are all characteristics of parametric tests. The data cases should be independent, the populations from which the data cases are drawn should have equal variances, and the data cases should be drawn from normally distributed populations.

30 Factors affecting compensation policy of an organization include the following except,

- a. Availability of financial resources**
- b. Government policies**
- c. Competitive pressures**
- d. Personal benefits**

The correct answer is: d. Personal benefits.

Personal benefits are not a factor that affects compensation policy. Compensation policy is a set of rules and guidelines that an organization uses to determine how much to pay its employees. It is based on a number of factors, including the availability of financial resources, government policies, competitive pressures, and the value of the employee's contribution to the organization.

Personal benefits are benefits that are provided to employees based on their individual needs or preferences. They are not typically considered when developing a compensation policy.

31 One of the following is a prohibited act according to the legal framework of Ethiopia,

- a. Preventing sexual harassment**
- b. Desperate treatment**
- c. Affirmative action**
- d. Equal employment opportunity**

The correct answer is: b. Desperate treatment.

Desperate treatment is not a prohibited act according to the legal framework of Ethiopia. The legal framework of Ethiopia prohibits a number of acts, including sexual harassment, discrimination, and unfair labor practices. However, desperate treatment is not specifically mentioned as a prohibited act.

Desperate treatment is a term used to describe a situation in which an employer treats an employee unfairly in order to get them to quit. This can include things like threatening to fire the employee, giving them a bad performance review, or making their work environment hostile.

While desperate treatment is not specifically prohibited by law, it can still be considered a form of discrimination or unfair labor practice. If an employee feels that they have been treated unfairly by their employer, they may be able to file a complaint with the Ethiopian Ministry of Labor and Social Affairs.

32 Which one is different from others?

- a. Audio visual aids intended to be used**
- b. Time, place and cost of the presentation**
- c. Written evidence**
- d. Who are the stakeholders and their area of interest**

The answer is: c. Written evidence.

The other three options are all logistical details that need to be considered when planning a presentation. Written evidence, on the other hand, is not a logistical detail. It is a type of evidence that can be used to support the claims made in a presentation.

Here are some additional details about each of the options:

- Audio visual aids intended to be used: This refers to any visual or auditory aids that will be used during the presentation, such as PowerPoint slides, videos, or audio recordings.
- Time, place and cost of the presentation: This refers to the date, time, and location of the presentation, as well as the cost of any materials or equipment that will be needed.
- Who are the stakeholders and their area of interest: This refers to the people who will be affected by the presentation, such as the audience, the client, or the decision-makers.

33 All of the following are important strategies that a manager can use to create a more effective decision-making environment except:

- a. Rely solely upon himself or herself**
- b. Recognize the importance of quality information**
- c. Be ready to try things**
- d. Encourage others to make decision**

The correct answer is: a. Rely solely upon himself or herself.

A manager should not rely solely upon himself or herself when making decisions. They should seek input from others, including their team members, customers, and other stakeholders. This will help to ensure that all perspectives are considered and that the best possible decision is made.

Here are some of the benefits of seeking input from others:

- It can help to identify potential problems or risks that the manager may not have considered.
- It can help to generate new ideas and solutions.
- It can help to build trust and collaboration within the team.
- It can help to improve the decision-making process and the quality of the decisions that are made.

34 Which one of the following is not the characteristic of goods?

- O a. Product typically produced at a fixed facility**

O b. Limited customer involvement in production

O c. Similar products produced

O d. Inconsistent product definition

There are a number of ways that a manager can seek input from others. They can hold meetings, conduct surveys, or simply ask for feedback on their ideas. It is important to be open to feedback and to be willing to change their mind if they are presented with new information.

Making decisions is an important part of a manager's job. By seeking input from others, managers can make better decisions that are more likely to be successful.

The correct answer is: d. Inconsistent product definition.

Goods are tangible products that can be seen, touched, and stored. They are typically produced at a fixed facility and are often sold in bulk. Goods are usually standardized products that are produced in large quantities. This means that they have a consistent product definition and are not subject to change.

Services, on the other hand, are intangible products that cannot be seen, touched, or stored. They are typically produced and consumed at the same time and are often customized to meet the needs of the individual customer. Services are usually not standardized products and are subject to change.

Here are some examples of goods:

- Cars
- Clothes
- Food
- Furniture
- Electronics

Here are some examples of services:

- Haircuts
- Car repairs
- Medical care
- Legal advice
- Travel

35 The information requirements of organization depends on many factor like;

a. All of the above

- b. The culture of organization
- c. Size of organization
- d. Structure of organization

The correct answer is:

- a. All of the above

The information requirements of an organization depend on many factors, including the organization's culture, size, structure, and industry.

The organization's culture refers to the shared values, beliefs, and norms that guide the behavior of its members. The culture can influence the types of information that are considered important and the way that information is shared. For example, in a culture that values openness and transparency, employees may be more likely to share information with each other.

The organization's size refers to the number of employees and the scope of its operations. The size can affect the amount of information that is generated and the way that information is managed. For example, a large organization may have a dedicated information technology department to manage its information systems.

The organization's structure refers to the way that it is organized into departments and teams. The structure can affect the flow of information within the organization. For example, a centralized structure may have a single department that is responsible for collecting and disseminating information.

The organization's industry refers to the type of business that it is in. The industry can affect the types of information that are important and the way that information is used. For example, a financial services company may need to collect and analyze a lot of financial data.

In addition to these factors, the information requirements of an organization can also be affected by its goals, objectives, strategies, and products or services.

36 In January 2003, the American worker spent an average of 77 hours logged on to the Internet while at work. Assume the population mean is 77 hours, the times are normally distributed, and that the standard deviation is 20 hours. What is the probability that in January 2003 a randomly selected worker spent fewer than 50 hours logged on to the Internet?

- ☐ a. 0.400
- ☐ b. 0.260
- ☐ c. 0.026
- ☐ d. .0885

The correct answer is:

c. 0.026

We can use the z-score formula to calculate the probability that a randomly selected worker spent fewer than 50 hours logged on to the Internet:

$$z = \frac{x - \mu}{\sigma} = \frac{50 - 77}{20} = -3.85$$

The z-table shows that the probability of a standard normal variable being less than -3.85 is 0.026.

Therefore, the probability that a randomly selected worker spent fewer than 50 hours logged on to the Internet in January 2003 is 0.026.

- 37 Which one of the following is false in aggregate planning in service?**
- a. Demand management taking a more active role**
 - b. Most services pursue combinations of the capacity and demand options**
 - c. Similar aggregate planning to different type of service provided**
 - d. Major variable in capacity management for services is labor**

The correct answer is: **c. Similar aggregate planning to different type of service provided**

Aggregate planning is the process of determining the optimal level of production for a company over a specified period of time. It is a complex process that takes into account a variety of factors, including demand, capacity, and costs.

The type of service provided can have a significant impact on the aggregate planning process. For example, a service that has a high degree of variability in demand, such as a restaurant, will need to have a more flexible aggregate planning process than a service that has a more stable demand, such as a bank.

Therefore, the statement "Similar aggregate planning to different type of service provided" is false.

The other statements are all true. Demand management can take a more active role in services than in manufacturing, as services are often more difficult to store. Most services pursue combinations of the capacity and demand options, as it is often not possible to perfectly match capacity to demand. Labor is a major variable in capacity management for services, as services are often labor-intensive.

- 38 identify the wrong statement regarding a product**
- a. Products have different life cycles**

b. A product is anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need "question

c. Products does not include services, events, persons, places, organizations, ideas, or a mixture of these

d. Products are tangible and intangible items created to satisfy needs and wants

The correct answer is:

c. Products does not include services, events, persons, places, organizations, ideas, or a mixture of these

A product is anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need. It includes both tangible goods and intangible services.

Some examples of products include:

- Goods: Cars, clothes, food, and furniture.
- Services: Haircuts, massages, and car repairs.
- Events: Concerts, sporting events, and festivals.
- Persons: Celebrities, politicians, and athletes.
- Places: Tourist destinations, historical sites, and natural wonders.
- Organizations: Businesses, nonprofits, and government agencies.
- Ideas: New inventions, scientific discoveries, and works of art.

Therefore, the statement "Products does not include services, events, persons, places, organizations, ideas, or a mixture of these" is false.

39 Which of the following is the key to building lasting customer relationship?

a. Targeting those with switching costs

b. Delivering values at the door gate

c. Building superior customer value

d. Emphasis on production concept

The correct answer is:

c. Building superior customer value

Customer value is the difference between the benefits that a customer receives from a product or service and the costs that the customer incurs in obtaining and using the product or service.

A company can create superior customer value by offering products or services that have high benefits and low costs. The benefits can be tangible, such as the quality of

the product or the level of service, or intangible, such as the brand image or the customer experience. The costs can be financial, such as the price of the product or the cost of service, or non-financial, such as the time and effort required to use the product or service.

A company can build superior customer value by focusing on the following:

- **Understanding customer needs and wants:** The company needs to understand what customers are looking for in a product or service. This can be done through market research, customer surveys, and focus groups.
- **Creating products and services that meet customer needs:** The company needs to create products and services that meet or exceed customer expectations. This can be done by using high-quality materials, innovative design, and excellent customer service.
- **Pricing products and services competitively:** The company needs to price its products and services competitively in order to attract and retain customers.
- **Providing excellent customer service:** The company needs to provide excellent customer service in order to create a positive customer experience and build customer loyalty.

By focusing on these factors, a company can build superior customer value and create lasting customer relationships.

40 One of the following is incorrect about management development,

- a. Improves labor-management relations**
- b. Addresses performance deficiencies**
- c. Aims at filling current skill gaps**
- d. Prepares managers for assuming higher positions**

The correct answer is: a. Improves labor-management relations.

Management development is a process that helps managers improve their skills and knowledge so that they can be more effective in their roles. It can include a variety of activities, such as training, coaching, and mentoring.

The goal of management development is to improve the performance of managers and, ultimately, the performance of the organization. Management development can address a variety of issues, such as performance deficiencies, skill gaps, and the need to prepare managers for assuming higher positions.

However, management development does not typically focus on improving labor-management relations. This is because labor-management relations are typically handled by human resources professionals or other specialists. Management

development is more focused on improving the skills and knowledge of managers, rather than on improving relationships between managers and employees.

41 A role profile in job analysis involves the following except,

- ☐ a. Competencies
- ☐ b. Accountabilities
- ☐ c. Outcomes
- ☐ d. Resources

The correct answer is: Resources.

A role profile is a document that describes the essential duties, responsibilities, and competencies of a job. It is used to recruit and select the right candidates for the job, as well as to develop performance plans and evaluate employee performance.

The following are the components of a role profile:

- Job title: The name of the job.
- Department: The department or division in which the job is located.
- Reports to: The name of the person to whom the employee in this job reports.
- Summary: A brief description of the job.
- Essential duties and responsibilities: A list of the most important tasks that the employee in this job must perform.
- Qualifications: The education, experience, and other qualifications required for the job.
- Competencies: The skills, knowledge, and abilities that are necessary for the job.
- Working conditions: The physical and environmental conditions in which the job is performed.
- Salary range: The salary range for the job.

Resources are not a component of a role profile. Resources are the tools, equipment, and other materials that employees need to perform their jobs. They are typically listed in a separate document, such as a job description or a job specification.

42 When a car buyer chooses to order a global positioning system (GPS) and Bluetooth wireless communication, the possible product pricing strategy for the products mentioned is;

- ☐ a. Captive product pricing
- ☐ b. Optional product pricing
- ☐ c. By product pricing
- ☐ d. Product line pricing

The correct answer is: Optional product pricing.

Optional product pricing is a pricing strategy in which a company offers a product or service at a base price and then allows customers to add additional features or options for an additional fee. This strategy is often used for products or services that are not essential to the core product or service, but that may be desired by some customers.

In the case of a car buyer choosing to order a global positioning system (GPS) and Bluetooth wireless communication, the car company is using optional product pricing. The GPS and Bluetooth are not essential to the core product, which is the car, but they may be desired by some customers. The car company is offering these features at an additional cost so that customers can choose whether or not they want them.

Captive product pricing is a pricing strategy in which a company sells a product that is essential to the use of another product, but only offers the first product at a discount if the customer also purchases the second product. This strategy is often used for products that are difficult to use or understand without the second product.

By product pricing is a pricing strategy in which a company sells a product as a bundle of multiple products. This strategy is often used for products that are used together or that are complementary to each other.

Product line pricing is a pricing strategy in which a company offers a range of products at different prices. This strategy is often used for products that are similar in function but that have different features or quality levels.

43 According to Fiedler's contingency theory, the amount of mutual trust, loyalty, dependability, and support between a leader and his or her employees is;

- ☐ a. Leader/member relations**
- ☐ b. Mental models**
- ☐ c. Task structure**
- ☐ d. Positioning power**

The correct answer is: Leader/member relations.

Leader/member relations is one of three situational factors that Fiedler's contingency theory identifies as important in determining effective leadership. The other two factors are task structure and position power.

Leader/member relations refers to the amount of mutual trust, loyalty, dependability, and support between a leader and his or her employees. When leader/member relations are good, employees are more likely to be motivated and to follow the leader's instructions. When leader/member relations are poor, employees are more likely to be resistant and to ignore the leader's instructions.

Fiedler's contingency theory suggests that the most effective leadership style depends

on the combination of leader/member relations, task structure, and position power. In situations with good leader/member relations, a task-oriented leadership style is most effective. In situations with poor leader/member relations, a relationship-oriented leadership style is most effective. In situations with moderate leader/member relations, either a task-oriented or a relationship-oriented leadership style can be effective.

Fiedler's contingency theory is a well-known and widely researched theory of leadership. However, it has also been criticized for being too simplistic and for not taking into account other factors that can influence leadership effectiveness, such as the leader's personality and the characteristics of the task.

44 Which determinant of service quality involves approachability and ease of contact?

☐ a. Competence

☐ b. Courtesy

☐ c. Responsiveness

☐ d. Access

The correct answer is: Access.

Access is a determinant of service quality that involves approachability and ease of contact. It refers to the ease with which customers can contact the service provider and the timeliness with which the service provider responds to customer inquiries.

A service provider with good access will be easy to contact, either by phone, email, or in person. The service provider will also respond to customer inquiries promptly and courteously.

Good access is important because it makes it easy for customers to get the help they need when they need it. It also builds trust and confidence in the service provider.

There are a number of things that service providers can do to improve access, including:

- Making sure that customer service representatives are friendly and helpful.
- Providing multiple ways for customers to contact the service provider, such as by phone, email, or in person.
- Responding to customer inquiries promptly.
- Making sure that the service provider's website is easy to use and navigate.

By taking these steps, service providers can improve access and provide a better customer experience.

45 Identify the wrong claim about organizational development,

☐ a. Improves organizational effectiveness

☐ b. Deemphasizes collaboration and participation

☐ c. Improves employee well-being

O d. It is collection of change methods

The correct answer is: Deemphasizes collaboration and participation.

Organizational development (OD) is a process of planned change that is designed to improve the effectiveness of an organization. OD typically involves a number of different methods, such as team building, survey feedback, and process consultation.

OD is based on the assumption that organizations are complex systems that can be improved by changing the way people interact and work together. OD interventions are designed to help people learn new skills, develop new relationships, and create a more positive work environment.

OD has been shown to be effective in improving organizational effectiveness, employee well-being, and customer satisfaction. However, it is important to note that OD is not a quick fix. It is a long-term process that requires commitment from top management and employees alike.

Deemphasizing collaboration and participation would be counterproductive to the goals of OD. OD is about helping people work together more effectively, not about making them more isolated and disconnected.

46 Assume ABC Company has preferred stock that pays an \$8 dividend per share and sells for \$100 per share. If ABC issued new shares of preferred, then it would incur an underwriting (or flotation) cost of 2.5%, or \$2.50 per share, so it would net \$97.50 per share. What would be the company's cost of preferred stock?

- O a. 8.00%**
- O b. 6.40%**
- o c. 31.25%**
- O d. 8.20%**

The correct answer is: 8.20%.

The cost of preferred stock is the rate of return that a company must earn on its preferred stock in order to satisfy its investors. It is calculated by dividing the annual dividend per share by the net proceeds per share. In this case, the annual dividend per share is \$8 and the net proceeds per share is \$97.50. Therefore, the cost of preferred stock is $\$8/\$97.50 = 8.20\%$.

Note that the cost of preferred stock is higher than the dividend yield because of the underwriting cost. The underwriting cost is the fee that a company pays to an investment bank to help it issue new shares of stock. This fee reduces the amount of

money that the company receives from the sale of the new shares, which increases the cost of the stock.

47 Which of the following is not important when promoting products for an international market?

- O a. Language**
- O b. Personal interest**
- o c. Culture**
- Od. Media**

The correct answer is: Personal interest.

When promoting products for an international market, it is important to consider the language, culture, and media of the target market. Personal interest is not as important, as it is more likely to vary from person to person within a culture than the other factors.

Language is important because it allows you to communicate with your target market. If you are not able to communicate effectively with your target market, you will not be able to sell your products to them.

Culture is important because it affects the way people think and behave. If you do not understand the culture of your target market, you will not be able to market your products to them effectively.

Media is important because it is a way to reach your target market. If you do not use the right media, you will not be able to reach your target market and sell your products to them.

Personal interest is not as important as the other factors, as it is more likely to vary from person to person within a culture. For example, some people may be interested in sports, while others may be interested in music. If you are not able to appeal to everyone's personal interests, you will still be able to sell your products to the people who are interested in what you have to offer.

48 Which one of the following is an ordinal scale data

- O a. Zip code**
- O b. Political affiliation**
- O c. Students grade**
- O d. Nationality**

The correct answer is: Political affiliation.

Ordinal scale data is a type of data that can be ranked in order, but the difference

between the ranks does not have a meaningful interpretation. For example, if you ask someone their political affiliation, they might say "Democrat," "Republican," or "Independent." These three categories can be ranked in order, but the difference between the ranks does not have a meaningful interpretation. For example, it does not mean that a Democrat is twice as liberal as an Independent.

Zip code, student grade, and nationality are all examples of nominal scale data. Nominal scale data is a type of data that can be categorized, but the categories do not have a meaningful order. For example, if you ask someone their zip code, they might say "12345" or "91234." These two zip codes can be categorized as "12345" and "91234," but the difference between the categories does not have a meaningful interpretation. For example, it does not mean that someone who lives in zip code 12345 is twice as far away from you as someone who lives in zip code 91234.

In conclusion, the correct answer is: Political affiliation.

49 From the foreign market entry strategies, — involves the least change in the company's product lines, organization, investments, or mission.

- 0 a. Import**
- 0 b. Export**
- o c. Joint-venture**
- 0 d. Franchise**

From the foreign market entry strategies, ****Exporting**** involves the least change in the company's product lines, organization, investments, or mission ². Exporting is a traditional and well-established method of reaching foreign markets that does not require investment in foreign production facilities ². So the correct answer to your question is ****b. Export****.

50 Which one of the following helps in evaluating the effect of changes on the parameter values of a liner programming problem on the optimal solution?

- 0 a. Simplex**
- 0 b. Simulation**
- o c. Duality**
- 0 d. Sensitivity**

The answer is: **d. Sensitivity**

Sensitivity analysis is a technique used to evaluate the effect of changes on the parameter values of a linear programming problem on the optimal solution. It is used to determine how sensitive the optimal solution is to changes in the problem's parameters.

Simplex is an algorithm used to solve linear programming problems. It is a step-by-step procedure that finds the optimal solution to a linear programming problem.

Simulation is a technique used to model and analyze real-world systems. It is used to understand how a system behaves under different conditions.

Duality is a concept in linear programming that relates the primal problem to the dual problem. The primal problem is the original problem that is being solved, and the dual problem is a related problem that is also solved. The dual problem can be used to provide insights into the primal problem.

51 Which of the following is not among the reasons for the project control?

- ☐ a. To take care of past projects
- ☐ b. To track progress
- ☐ c. To detect variance from plan
- ☐ d. To take corrective action

The answer is: **a. To take care of past projects**

Project control is a process used to ensure that a project is completed on time, within budget, and to the required quality standards. It involves monitoring the progress of the project, identifying any variances from the plan, and taking corrective action as necessary.

Taking care of past projects is not a reason for project control. This is because project control is a process that is used to manage the current project, not past projects.

The other options are all reasons for project control. Tracking progress is important to ensure that the project is on track. Detecting variance from plan is important to identify any problems that may occur so that corrective action can be taken. Taking corrective action is important to ensure that the project stays on track and is completed successfully.

52 Identify the wrong statement about organizational change,

- ☐ a. Change can result from both outside and inside stimuli
- ☐ b. Change is largely structural in nature
- ☐ c. An enterprise can be changed in several ways
- ☐ d. Stability is always better than change in organizations

Organizational change is the process of shifting a company's structure or other significant elements to improve operations and meet new challenges ³. Change can result from both outside and inside stimuli, and an enterprise can be changed in several ways ¹. However, the statement that ****Stability is always better than change in organizations**** is incorrect. Change, although challenging, can be a major opportunity for growth and career advancement ¹. So the wrong statement about organizational change is ****d. Stability is always better than change in organizations****.

53 Which of the following is the correct sequence (from bottom to top) of the

Corporate Social Responsibility obligation according to Carroll's pyramid;

- a. Ethical, legal, economic, philanthropic
- b. Economic, ethical, legal, philanthropic
- c. Economic, legal, ethical, philanthropic
- d. Economic, Philanthropic, legal, ethical

Corporate Social Responsibility (CSR), the correct sequence of CSR obligations from bottom to top is: **Economic, Legal, Ethical, Philanthropic**. This means that a company's first responsibility is to be profitable and meet its economic obligations. The next level is to obey the law and fulfill its legal responsibilities. The third level is to act ethically and do what is right, even if it is not required by law. The top level is to engage in philanthropic activities and give back to society. So the correct answer to your question is **c. Economic, legal, ethical, philanthropic**.

54 Demand of a product in an international market is said to be elastic when

- ☐ a. Demand increase while the price has no change
- ☐ b. There is no change in demand though the price is substantially changed
- ☐ c. A large changes in price produce little change in demand
- ☐ d. A small change in price produces a large change in demand

The answer is: **d. A small change in price produces a large change in demand**

Demand is said to be elastic when a small change in price produces a large change in demand. This means that consumers are very sensitive to changes in price and are willing to substitute other goods for the good in question when the price changes.

Inelastic demand, on the other hand, occurs when a large change in price produces a small change in demand. This means that consumers are not very sensitive to changes in price and are not willing to substitute other goods for the good in question when the price changes.

The degree of elasticity of demand is determined by a number of factors, including the availability of substitutes, the importance of the good to consumers, and the time horizon.

55 Which of the following international entry strategy require firms to give high concern for local responsiveness and low concern for cost reduction?

- ☐ a. Transnational
- ☐ b. Multi-domestic
- ☐ c. Global
- ☐ d. Multi national

The answer is: **b. Multi-domestic**

A multi-domestic strategy is an international entry strategy that involves adapting the firm's products and marketing to the specific needs of each country in which it operates. This strategy is appropriate for firms that face significant differences in consumer tastes and preferences, distribution channels, and competitive conditions across countries.

A multi-domestic strategy requires a high degree of local responsiveness, as the firm must tailor its products and marketing to the specific needs of each country. However, it also requires a low degree of cost reduction, as the firm must incur the costs of adapting its products and marketing to each country.

The other options are incorrect. A transnational strategy is an international entry strategy that involves integrating the firm's operations across countries in order to achieve both local responsiveness and cost reduction. A global strategy is an international entry strategy that involves standardizing the firm's products and marketing across countries in order to achieve cost reduction. A multinational strategy is an international entry strategy that involves combining elements of both multi-domestic and global strategies.

56 Employee - employer relations are mainly concerned with,

☐ a. Rights of labor

☐ b. Conditions of employment

☐ c. All

☐ d. Organizational systems

The correct answer is: **c. All**

Employee-employer relations are the interactions between employees and employers. They are concerned with the rights of labor, the conditions of employment, and organizational systems.

The rights of labor include the right to organize, the right to bargain collectively, and the right to strike. The conditions of employment include the wages, hours, and working conditions of employees. Organizational systems include the structure, policies, and procedures of an organization.

Employee-employer relations are important because they can affect the productivity, morale, and satisfaction of employees. They can also affect the profitability and competitiveness of an organization.

57 A person who starts a business, acts as a manager, and with view to expand the business to maximum is;

a. Political entrepreneur

- b. Social entrepreneur**
- c. Opportunistic entrepreneur**
- d. Craft entrepreneur**

The answer is: c. Opportunistic entrepreneur.

An opportunistic entrepreneur is a person who starts a business to take advantage of an opportunity in the market. They are often driven by a desire to make money and to be successful. Opportunistic entrepreneurs are typically very good at identifying opportunities and developing strategies to capitalize on them. They are also often very good at managing risk and taking calculated risks.

Political entrepreneurs are people who start businesses with the goal of influencing the political process. They may do this by lobbying for changes in government policy, or by running for office themselves. Social entrepreneurs are people who start businesses with the goal of solving social problems. They may do this by providing goods or services to underserved communities, or by advocating for changes in public policy. Craft entrepreneurs are people who start businesses to make and sell handmade goods. They are often motivated by a passion for their craft, and they may take pride in the quality of their work.

58 Managing products in international markets build on the basic principles of managing products in domestic markets and these include the consideration of all of the following except:

- ☐ a. Developing and launching new products**
- ☐ b. Branding strategies for international markets**
- ☐ c. Stressing domestic products**
- ☐ d. Deciding which and how many products to offer**

The answer is: c. Stressing domestic products.

Managing products in international markets is a complex process that requires careful consideration of a number of factors, including the target market, the competition, the regulatory environment, and the distribution channels. One of the most important decisions that a company must make when entering a new market is which products to offer. The company must decide whether to offer its existing products in the new market, or whether to develop new products specifically for the new market.

If the company decides to offer its existing products in the new market, it must make sure that the products are adapted to meet the needs of the target market. This may involve making changes to the product itself, or to the way that the product is marketed and distributed.

If the company decides to develop new products specifically for the new market, it must

carefully consider the needs of the target market and the competitive landscape. The company must also make sure that the new products are compatible with the company's overall product strategy.

Stressing domestic products is not one of the key considerations when managing products in international markets. The company must focus on the needs of the target market and the competitive landscape in the new market.

59 when a business no longer exists for any reason, it is termed as;

- ☐ a. Business recession**
- ☐ b. Business extinction**
- ☐ c. Business failure**
- ☐ d. Business termination**

The answer is: Business termination.

Business termination is the permanent end of a business. It can occur for a variety of reasons, such as bankruptcy, liquidation, or merger. When a business terminates, it ceases to exist as a legal entity and its assets are typically sold or distributed to creditors.

Business recession is a period of economic decline, characterized by falling gross domestic product (GDP), rising unemployment, and declining asset prices.

Business extinction is the permanent disappearance of a business from the market. It can occur for a variety of reasons, such as competition, technological change, or changes in consumer preferences.

Business failure is the inability of a business to meet its financial obligations. It can occur for a variety of reasons, such as poor management, insufficient capital, or changes in the business environment.

60 The control process requires managers to establish standards for performance, measure performance against those standards, and

- ☐ a. Know their organization's mission**
- ☐ b. Take necessary action to correct deviation**
- ☐ c. Control unexpected situation**
- ☐ d. Establish technical standards**

The answer is: b. Take necessary action to correct deviation.

The control process is a systematic way of ensuring that an organization's activities are aligned with its goals and objectives. The control process involves three steps:

1. **Establishing standards for performance.** This involves setting specific goals and objectives for the organization.
2. **Measuring performance against those standards.** This involves collecting data on the organization's performance and comparing it to the established standards.
3. **Taking necessary action to correct deviation.** This involves taking steps to ensure that the organization's performance meets the established standards.

The control process is essential for ensuring that an organization is successful. By setting standards, measuring performance, and taking corrective action, managers can ensure that the organization is on track to achieve its goals.

The other options are not necessary for the control process. While it is important for managers to know their organization's mission, this is not a step in the control process. Controlling unexpected situations may be necessary, but it is not a step in the control process. Establishing technical standards may be helpful, but it is not a step in the control process.

61 Organizations could have a wider span of control when;

- a. The organization has a well-established set of standard operating procedures
- b. A great deal of interaction is required between supervisor and workers
- c. The manager has a lot of work to do in addition to supervising workers
- d. New problems arise frequently in the organization

The answer is: a. The organization has a well-established set of standard operating procedures.

A span of control is the number of subordinates a manager can effectively supervise. A wider span of control means that a manager has more subordinates, while a narrower span of control means that a manager has fewer subordinates.

There are a number of factors that can affect the span of control, including the complexity of the work, the level of skill of the subordinates, and the availability of resources.

One factor that can lead to a wider span of control is the existence of well-established standard operating procedures. Standard operating procedures are sets of instructions that outline how to perform specific tasks. They can help to reduce the amount of time and effort that managers need to spend supervising their subordinates.

When standard operating procedures are in place, managers can focus on more strategic tasks, such as planning and decision-making. They can also delegate more tasks to their subordinates, which can free up their time.

As a result, organizations with well-established standard operating procedures can often have a wider span of control than organizations without such procedures.

62 To implement a successful ethics program at any level, executive leadership is desirable on the part of the president of the organization. Which of the following cannot be one of the strategies to foster an ethical organization?

- O a. Make The Ethics Program Visible**
- O b. Make The Ethics Program Invisible**
- O c. Adopt a Code of Ethics**
- O d. Adopt the Goal of Implementing an Ethics Program**

The answer is: Make The Ethics Program Invisible.

An ethics program is a set of policies and procedures that are designed to promote ethical behavior in an organization. The goal of an ethics program is to create a culture of ethics within the organization, where employees are aware of the organization's ethical standards and are committed to upholding those standards.

There are a number of strategies that can be used to foster an ethical organization. One strategy is to make the ethics program visible. This means communicating the ethics program to employees, providing training on the ethics program, and making it easy for employees to report ethical concerns.

Another strategy is to adopt a code of ethics. A code of ethics is a document that outlines the organization's ethical standards. The code of ethics should be clear, concise, and easy to understand. It should also be consistent with the organization's values and culture.

Finally, the organization should adopt the goal of implementing an ethics program. This means that the organization should be committed to creating a culture of ethics and to upholding its ethical standards.

Making the ethics program invisible is not a strategy that can be used to foster an ethical organization. This is because employees need to be aware of the ethics program in order to uphold its standards. If the ethics program is invisible, employees will not be aware of it and will not be able to comply with its standards.

63 Which of the following is true about the selling and marketing philosophy/concept?

- O a. The end of selling concept is factory while the end of marketing concept is the market place**
- O b. The focus of selling concept is customer need while the focus of marketing concept is existing products**
- O c. The means of selling concept is integrated marketing while the means of marketing concept is selling and promotion**
- O d. The end of selling concept is profit through volume while the end of marketing**

concept is profit through satisfaction

The correct answer is: The end of selling concept is profit through volume while the end of marketing concept is profit through satisfaction.

The selling concept is a business philosophy that focuses on selling products that are already in existence. The goal of the selling concept is to increase sales by convincing consumers to buy the products that the company is selling. The marketing concept, on the other hand, is a business philosophy that focuses on meeting the needs of consumers. The goal of the marketing concept is to create products that meet the needs of consumers and to promote those products in a way that resonates with consumers.

The selling concept is often associated with a focus on profit through volume. This means that the company's goal is to sell as many products as possible, regardless of whether or not the products meet the needs of consumers. The marketing concept, on the other hand, is often associated with a focus on profit through satisfaction. This means that the company's goal is to create products that meet the needs of consumers and to promote those products in a way that resonates with consumers.

The selling concept is often seen as a less effective business philosophy than the marketing concept. This is because the selling concept is based on the assumption that consumers will buy products regardless of whether or not they meet their needs. The marketing concept, on the other hand, is based on the assumption that consumers will only buy products that meet their needs.

64 Which of the following aims to improve quality, cost and speed?

- a. Re-engineering**
- b. Inventing**
- c. Decoupling**
- d. Venturing**

The answer is: Re-engineering.

Re-engineering is the fundamental rethinking and radical redesign of business processes to achieve dramatic improvements in critical performance measures, such as cost, quality, service, and speed.

Re-engineering is a process that involves identifying and eliminating waste in business processes. It is a systematic approach to improving the way that an organization does business. Re-engineering can be used to improve the quality of products and services, to reduce costs, and to increase speed.

Re-engineering is a complex process that requires careful planning and execution. It is important to identify the right processes to re-engineer and to involve the right people in the process. Re-engineering can be a very successful way to improve the performance of an organization.

The other options are not as effective at improving quality, cost, and speed. Inventing is the process of creating something new. Decoupling is the process of separating two or more things that are connected. Venturing is the process of taking risks in business.

65 Cultural differences cause four kinds of problems in international business negotiations, at the levels of:

- ☐ a. Values
- ☐ b. Language
- ☐ c. Nonverbal behaviors
- ☐ d. All

The correct answer is: d. All

Cultural differences can cause four kinds of problems in international business negotiations:

- **Values:** Different cultures have different values, which can lead to misunderstandings and conflict. For example, in some cultures, it is considered rude to disagree with someone, while in other cultures, it is seen as a sign of respect to speak your mind.
- **Language:** Language barriers can make it difficult to communicate effectively and understand each other's intentions. For example, idioms and metaphors can have different meanings in different cultures.
- **Nonverbal behaviors:** Nonverbal behaviors, such as body language and facial expressions, can also be interpreted differently across cultures. For example, a smile may be interpreted as a sign of happiness in some cultures, but as a sign of aggression in others.
- **Negotiation styles:** Different cultures have different negotiation styles, which can lead to misunderstandings and conflict. For example, in some cultures, it is considered polite to haggle over prices, while in other cultures, it is seen as disrespectful.

It is important to be aware of cultural differences and to be sensitive to the needs of your negotiating partners in order to avoid problems.

66 Which one of the following are not the essentials of a good questionnaire?

- ☐ a. Being relatively short and simple
- ☐ b. Use of technical terms and vague expressions
- ☐ c. Dichotomous questions
- ☐ d. Use of both close and open ended questions

The correct answer is: b. Use of technical terms and vague expressions.

A good questionnaire should be:

- **Relatively short and simple:** This will make it easier for respondents to complete and will help to ensure that they answer all of the questions.
- **Use clear and unambiguous language:** This will help to avoid confusion and ensure that respondents understand what is being asked of them.
- **Use a variety of question types:** This will help to capture a range of information and will make the questionnaire more interesting and engaging for respondents.
- **Use appropriate response options:** This will help to ensure that respondents can easily and accurately answer the questions.
- **Be piloted with a small group of people:** This will help to identify any problems with the questionnaire and will ensure that it is ready for use with a larger group of respondents.

Technical terms and vague expressions can make it difficult for respondents to understand what is being asked of them and can lead to inaccurate or incomplete responses. Therefore, they should be avoided in a good questionnaire.

67 Which of the following is not an effective conflict management technique?

- ☐ a. Changing structure
- ☐ b. Creating scarcity of resources
- ☐ c. Appealing to super ordinate goals
- ☐ d. Confronting and negotiating

The correct answer is: b. Creating scarcity of resources.

Creating scarcity of resources is not an effective conflict management technique because it can lead to increased competition and conflict. When resources are scarce, people are more likely to fight over them, which can damage relationships and make it difficult to resolve the conflict.

More effective conflict management techniques include:

- **Changing structure:** This involves changing the way that resources are allocated or the way that tasks are assigned. This can help to reduce competition and conflict by ensuring that everyone has a fair chance to succeed.
- **Appealing to super ordinate goals:** This involves focusing on the common goals that the parties share. This can help to unite the parties and make it easier to find a solution that everyone can agree on.
- **Confronting and negotiating:** This involves directly addressing the conflict and trying to find a solution that is acceptable to both parties. This can be a difficult

process, but it is often the most effective way to resolve conflict.

68 If higher level needs are not met, a person may move down the hierarchy. Alderfer explains this as;

- ☐ a. Satisfaction - Progression principle**
- ☐ b. Frustration - regression principle**
- ☐ c. Frustration - compromisation principle**
- ☐ d. Satisfaction - discrimination principle**

The correct answer is: b. Frustration - regression principle.

Alderfer's ERG theory is a motivation theory that proposes that there are three categories of needs: existence, relatedness, and growth. The theory suggests that people are motivated to satisfy their needs in a specific order, but that they may regress to lower-level needs if they are not satisfied.

The frustration-regression principle states that if a person's higher-level needs are not met, they may regress to lower-level needs. This can happen because people may feel frustrated and discouraged if they are not able to achieve their goals. As a result, they may focus on meeting their lower-level needs, which are easier to satisfy.

For example, a person who is not satisfied with their job may start to focus on their need for security, such as by saving money or buying a house. This can be a way of coping with the frustration of not being able to achieve their higher-level needs, such as the need for achievement or self-actualization.

The frustration-regression principle is important because it helps to explain why people sometimes behave in ways that are not in their best interests. It can also be used to help people understand why they may feel frustrated or discouraged when they are not able to achieve their goals.

69 Appraise the types of plan usually made once and retain their value over a period of years with undergoing periodic revisions and updates.

- ☐ a. Single use plan**
- ☐ b. Tactical plan**
- ☐ c. Strategic plan**
- ☐ d. Continuing plan**

The type of plan that is usually made once and retains its value over a period of years while undergoing periodic revisions and updates is a **c. Strategic plan**. A strategic plan is a high-level, long-term plan that outlines an organization's overall direction and goals. It is typically revisited and updated periodically to ensure that it remains relevant and effective.

70 According to Porter, the generic strategy that emphasizes producing standardized products at a very low per-unit

- cost for consumers who are price-sensitive is,**
- ☐ a. Differentiation**

- ☐ b. Cost leadership
- ☐ c. Focused differentiation
- ☐ d. Stuck in the middle

The answer is: **b. Cost leadership**

Cost leadership is a generic strategy that emphasizes producing standardized products at a very low per-unit cost for consumers who are price-sensitive. This strategy is based on the idea that a company can achieve a sustainable competitive advantage by producing products at a lower cost than its competitors.

There are a number of ways that a company can achieve cost leadership. One way is to invest in economies of scale. This means producing a large volume of products, which can lead to lower costs per unit. Another way to achieve cost leadership is to use efficient production methods. This means using the latest technology and equipment to produce products in the most efficient way possible.

Cost leadership can be a very effective strategy for companies that are competing in a price-sensitive market. However, it is important to note that this strategy is not without its risks. If a company's costs increase, it may not be able to maintain its competitive advantage. Additionally, if a company's competitors are able to achieve lower costs, they may be able to undercut the company's prices and take away market share.

Despite the risks, cost leadership can be a very successful strategy for companies that are able to execute it effectively.

71 A channel conflict that occur among firms at the same level of the channel is;

- ☐ a. Diagonal channel conflict
- ☐ b. Slanting channel conflict
- ☐ c. Horizontal channel conflict
- ☐ d. Vertical channel conflict

The answer is: **c. Horizontal channel conflict**

Horizontal channel conflict is a conflict that occurs among firms at the same level of the channel. This type of conflict can occur when two or more firms are competing for the same customers or when they are trying to sell the same products or services.

Horizontal channel conflict can have a number of negative consequences for the firms involved. It can lead to lower sales, lower profits, and damage to the reputation of the firms involved. It can also make it difficult for the firms to coordinate their activities and to work together to achieve common goals.

There are a number of things that firms can do to avoid or resolve horizontal channel conflict. One thing that firms can do is to develop clear and concise policies and

procedures for dealing with channel conflict. Another thing that firms can do is to establish a system for resolving disputes in a fair and equitable manner. Finally, firms can also work together to develop strategies for increasing sales and profits.

72 Which research approach doesn't require developing a hypothesis?

- ☐ a. Quantitative
- ☐ b. Qualitative
- ☐ c. Mixed
- ☐ d. Deductive

The answer is: **b. Qualitative**

Qualitative research is a research approach that focuses on understanding the meaning of human experiences. It is often used to explore new or under-researched topics, to gain insights into complex social phenomena, and to develop new theories. Qualitative research does not require the development of a hypothesis, as it is not concerned with testing a specific theory or prediction. Instead, qualitative research is concerned with generating rich, in-depth data that can be used to understand the complexities of human experience.

Quantitative research, on the other hand, is a research approach that focuses on measuring and quantifying data. It is often used to test hypotheses, to make predictions, and to generalize findings to a larger population. Quantitative research does require the development of a hypothesis, as it is concerned with testing a specific theory or prediction.

Mixed methods research is a research approach that combines both qualitative and quantitative methods. It is often used to gain a more comprehensive understanding of a research topic. Mixed methods research can be used to test hypotheses, to generate rich, in-depth data, and to generalize findings to a larger population.

Deductive reasoning is a type of reasoning that involves moving from general statements to specific conclusions. It is often used in quantitative research, as it allows researchers to test hypotheses and make predictions. Inductive reasoning, on the other hand, is a type of reasoning that involves moving from specific statements to general conclusions. It is often used in qualitative research, as it allows researchers to generate rich, in-depth data and to develop new theories

73 Identify the one which is not a characteristics of work groups,

- ☐ a. Share common goals
- ☐ b. Stable structure
- ☐ c. Satisfy individual interest
- ☐ d. Two or more people

The option that is not a characteristic of work groups is **c. Satisfy individual interest**. Work groups are typically formed to achieve common goals and have a stable structure. They are composed of two or more people who work together to achieve a shared objective. While individual members of a work group may have their own interests and motivations, the primary focus of the group is on achieving the common goals of the group, rather than satisfying individual interests.

74 Identify the one which is not a dimension of diversity in organizations,

- a. Race and ethnicity**
- b. None**
- c. Gender**
- d. Able-bodiedness**

The correct answer is: b. None

Diversity in organizations is the inclusion of people from different backgrounds and experiences. This can include race and ethnicity, gender, age, sexual orientation, religion, socioeconomic status, and ability.

Diversity is important in organizations because it can lead to a number of benefits, including:

- Increased creativity and innovation
- Improved problem-solving
- Better decision-making
- Increased employee satisfaction and engagement
- Improved customer service
- Increased sales and revenue

Organizations can promote diversity by creating a culture of inclusion and by implementing policies and practices that support diversity.

75 The source of finance usually secured from financial institutions and commercial banks with interest is termed as;

- O a. Loan financing**
- O b. None of the above**
- O c. Equity financing**
- O d. Lease financing**

The correct answer is: a. Loan financing.

Loan financing is a type of debt financing in which a borrower receives money from a lender and agrees to repay the loan with interest over a specified period of time. Loan financing is often used to finance large purchases, such as a car or a house.

Equity financing is a type of financing in which a company sells shares of ownership to investors. Equity financing is often used to finance the growth of a company.

Lease financing is a type of financing in which a company leases an asset from a leasing company. Lease financing is often used to finance equipment or vehicles.

76 From the following, who is the best example of a servant leader?

- O a. Mengistu Hailemariam**
- O b. Mohamed Gadhafi**
- O c. Nelson Mandela**
- O d. Kim Jong Un**

The correct answer is: c. Nelson Mandela.

A servant leader is a leader who puts the needs of others before their own. They are driven by a desire to help others and to make a positive impact on the world. Nelson Mandela was a perfect example of a servant leader. He dedicated his life to fighting for equality and justice for all people. He was a true inspiration to millions of people around the world.

Mengistu Hailemariam was a dictator who ruled Ethiopia from 1974 to 1991. He was responsible for the deaths of millions of people. Mohamed Gadhafi was a dictator who ruled Libya from 1969 to 2011. He was also responsible for the deaths of millions of people. Kim Jong Un is the current leader of North Korea. He is a dictator who has been accused of human rights abuses.

All three of these men were leaders, but they were not servant leaders. They were not driven by a desire to help others, but by a desire for power and control.

77 Which of the following is not a requirement for an effective selection process?

- a. Series of screening steps**
- b. A lower pool of prospective applicants**
- c. Post interview screening**
- d. Clear job description and specification**

The correct answer is: b. A lower pool of prospective applicants.

A lower pool of prospective applicants is not a requirement for an effective selection process. In fact, a larger pool of applicants can actually be beneficial, as it gives the hiring manager more options to choose from. However, it is important to make sure that the selection process is fair and unbiased, and that all applicants are given an equal chance to be considered for the job.

A series of screening steps can help to ensure that only the most qualified applicants are invited to interview. Post interview screening can help to verify the information that was provided during the interview and to assess the applicant's skills and abilities. A clear job description and specification can help to ensure that all applicants are aware of the requirements of the job and that the hiring manager is able to make a fair and

informed decision.

78 Which one is true about leadership as an art and a process?

- a. Works to maximize individual interests than group goals**
- b. Shapes the goals of a group, but not an organization**
- c. Defines organizational culture**
- d. Drives or pushes from behind**

The statement that is true about leadership as an art and a process is **c. Defines organizational culture**. Leadership involves shaping the goals, values, and behaviors of a group or organization. Through their actions and decisions, leaders help to define the culture of the organization and set the tone for how members of the group interact with each other and work towards common goals. Effective leaders work to align the interests of individuals with the goals of the group, rather than maximizing individual interests at the expense of group goals

79 Analyze the correct expression about the phases of a business cycle

- a. When there is a continuous decrease of output, income, employment, prices and profits, there is a fall in the standard of living and recession phase sets in**
- b. The prosperity phase occurred when there is an expansion of output, income, employment, and a rise in the standard of living**
- c. The prosperity phase occurred when there is a decrease in output, income, employment, and the standard of living**
- d. When demand starts falling, the overproduction and future investment plans are given up, depression phase occurred**

The correct expression about the phases of a business cycle is **b. The prosperity phase occurs when there is an expansion of output, income, employment, and a rise in the standard of living**. During the prosperity phase of a business cycle, economic activity is expanding and there is an increase in output, income, employment, and overall standard of living. This phase is characterized by high levels of consumer and business confidence, increased spending, and investment.

80 Which one of the following is not the requirement for work cell?

- O a. A high level of training of employees**
- O b. Identification of families of products**
- O c. Low material-handling costs**
- O d. Being self-contained**

The answer is: A high level of training of employees.

A work cell is a small group of workers who are responsible for a specific task or group of tasks. The goal of a work cell is to improve efficiency and productivity by reducing the amount of time and effort required to complete a task.

To create a work cell, it is important to identify the families of products that will be produced in the cell. This will help to determine the type of equipment and materials that will be needed. Once the equipment and materials are in place, the workers can be trained on how to use them.

It is not necessary for workers in a work cell to have a high level of training. In fact, it is often more efficient to have workers who are cross-trained on multiple tasks. This allows the workers to be flexible and to fill in for each other when necessary.

The other three options are all requirements for a work cell:

- Identification of families of products: This is necessary to ensure that the equipment and materials in the work cell are appropriate for the tasks that will be performed.
- Low material-handling costs: This can be achieved by placing the equipment and materials in close proximity to each other and by using efficient methods of material handling.
- Being self-contained: This means that the work cell should have all of the resources that it needs to complete the tasks that it is responsible for. This includes equipment, materials, and workers.

81 Like any other human undertakings, projects need to be performed and delivered under certain constraints. Which of the following is not one of the lists in the triple constraint?
☐ a. Capability
☐ b. Scope
☐ c. Time
☐ d. Cost

The answer is: Capability.

The triple constraint is a project management concept that states that any project has three constraints: scope, time, and cost. These constraints are often referred to as the iron triangle, because they are interrelated and any change to one constraint will impact the other two.

For example, if a project manager wants to reduce the time it takes to complete a project, they may need to increase the cost or reduce the scope of the project. Similarly, if a project manager wants to increase the scope of a project, they may need to increase the time or cost of the project.

Capability is not one of the constraints in the triple constraint. Capability refers to the ability of a project team to complete the project. It is important to consider capability when planning a project, but it is not a constraint in the same way that scope, time, and cost are.

The other three options are all constraints in the triple constraint:

- **Scope:** The scope of a project refers to the work that needs to be done to complete the project. It is important to define the scope of a project carefully, because any changes to the scope will impact the time, cost, and resources required to complete the project.
- **Time:** The time constraint refers to the deadline for completing the project. It is important to set a realistic deadline for a project, because any changes to the deadline will impact the scope, cost, and resources required to complete the project.
- **Cost:** The cost constraint refers to the budget for the project. It is important to set a realistic budget for a project, because any changes to the budget will impact the scope, time, and resources required to complete the project.

82 Identify the wrong claim about strategies,

- ☐ **a. Strategy should not present inconsistency to goals and policies**
- ☐ **b. Strategies create new value but not competitive advantage**
- ☐ **c. Strategies need to examine set of trends**
- ☐ **d. Strategies should not require too much resources**

The answer is: Strategies create new value but not competitive advantage.

A strategy is a plan of action designed to achieve a specific goal. It is a way of thinking about how to compete in the marketplace. A good strategy should be based on a deep understanding of the industry, the competition, and the customer. It should also be aligned with the company's goals and resources.

One of the key goals of a strategy is to create competitive advantage. Competitive advantage is what allows a company to outperform its rivals. It can be achieved through a number of means, such as innovation, superior customer service, or a strong brand.

A strategy that does not create competitive advantage is unlikely to be successful. It will be difficult for the company to achieve its goals and objectives if it is not able to outperform its rivals.

The other three options are all correct statements about strategies.

- Strategies should not present inconsistency to goals and policies. A strategy should be aligned with the company's goals and policies. It should be a way of achieving those goals and objectives.
- Strategies need to examine set of trends. A good strategy should be based on a deep understanding of the industry, the competition, and the customer. It should also take into account the latest trends in the marketplace.
- Strategies should not require too much resources. A strategy should be feasible and achievable. It should not require too many resources, or it will be difficult to

implement.

83 The director of sale for an auto manufacturer wants to estimate the average Birr damage to new Autos when driven into a brick wall at 20 miles per hour. The director is authorized to use three autos. Assuming that the Birr value of damage is normally distributed and the sample results for crushing the three autos are Birr 1350, Birr 1450 and Birr 1500; what is the point estimate of the average Birr damage for the population of all cars of this type manufactured by the company?

- O a. 1433.33**
- O b. 1414.66**
- O c. 1300.12**
- O d. 1475**

The answer is: The point estimate of the average Birr damage for the population of all cars of this type manufactured by the company is calculated by taking the mean of the sample results. The mean is calculated by adding up all the sample values and dividing by the number of samples. In this case, the point estimate would be $(1350 + 1450 + 1500) / 3 = \mathbf{1433.33}$. So, the answer to your question is **a. 1433.33**.

84 The system of accounts that records a nation's international financial transactions is called;

- O a. Balance of payment**
- O b. Embargo**
- O c. Trade deficits**
- O d. Tariff**

The answer is: Balance of payment.

A balance of payment is a system of accounts that records a nation's international financial transactions. It includes all payments made between residents of a country and residents of other countries. The balance of payments is divided into two main accounts: the current account and the capital account.

The current account records a country's trade in goods and services, as well as income from investments and transfers. The capital account records a country's purchases and sales of assets, such as land, buildings, and factories.

The balance of payments is important because it provides a snapshot of a country's international financial position. It can be used to track a country's economic health and to identify potential problems.

The other three options are not correct.

- Embargo is a government order that prohibits trade with a particular country or group of countries.
- Trade deficit is the difference between the value of a country's exports and the value of its imports.

- Tariff is a tax on imported goods.

85 Which of the component of a business plan is dedicated to write the description of products?

- ☐ a. Marketing plan
- ☐ b. Cover page
- ☐ c. The product description
- ☐ d. Funding requirement

The answer is: c. The product description.

The product description is a section of a business plan that provides a detailed description of the product or service that the company is offering. It should include information on the product's features, benefits, and target market. The product description should be clear, concise, and persuasive.

The marketing plan is a section of a business plan that outlines the company's marketing strategy. It should include information on the company's target market, marketing channels, and marketing budget.

The cover page is the first page of a business plan. It should include the company's name, address, phone number, and website. It should also include the name of the person who prepared the business plan and the date.

The funding requirement is a section of a business plan that outlines the amount of money that the company needs to raise and how it will be used.

Therefore, the product description is the component of a business plan that is dedicated to write the description of products.

86 Which one of the following is financial manager's role?

- ☐ a. Decide on how to finance the firm
- ☐ b. Improve throughput at factories
- ☐ c. Designing goods and services
- ☐ d. Improve workers' productivity

The correct answer is: Decide on how to finance the firm.

A financial manager is responsible for the financial planning and analysis of a company. They develop and implement financial strategies, manage cash flow, and oversee investments. They also prepare financial reports and presentations for management and investors.

The other three options are not part of the financial manager's role.

- Improving throughput at factories is the responsibility of the operations manager.

- Designing goods and services is the responsibility of the product manager.
- Improving workers' productivity is the responsibility of the human resources manager.

87 Which of the following is a special linear programming model?

- ☐ a. Game theory
- ☐ b. Decision theory
- ☐ c. Assignment model
- ☐ d. Waiting line models

The answer is: c. Assignment model.

An assignment model is a special type of linear programming model that is used to assign tasks to resources. The goal of an assignment model is to minimize the cost of assigning tasks to resources, while satisfying all of the constraints.

Game theory is a branch of mathematics that studies the ways in which strategic interactions are structured and how they play out.

Decision theory is a branch of mathematics that studies how to make decisions under uncertainty.

Waiting line models are used to analyze the performance of waiting lines, such as queues at a bank or a grocery store.

Therefore, the assignment model is a special linear programming model.

88 Which of the following is the viability aspect of the project plan in terms of time?

- ☐ a. What funding is required and by whom?
- ☐ b. How much will the project cost?
- ☐ c. What are the optimum levels of the required resources?
- ☐ d. What work can be done simultaneously?

The correct answer is: d. What work can be done simultaneously?

The viability aspect of the project plan in terms of time is the ability of the project to be completed within the specified time frame. This includes identifying the tasks that can be done simultaneously and the tasks that must be completed sequentially.

The other three options are not related to the viability aspect of the project plan in terms of time.

- What funding is required and by whom? is related to the financial viability of the project.
- How much will the project cost? is also related to the financial viability of the

- project.
- What are the optimum levels of the required resources? is related to the operational viability of the project.

89 Which one of the following best describes the reality of a manager's job?

- ☐ a. A management job is less science than art
- ☐ b. Managers have no regular duties to perform
- ☐ c. Managers are reflective and self-planners
- ☐ d. Managers are self-starting, self-directing and autonomous

The correct answer is: a. A management job is less science than art.

Management is a complex and challenging job that requires a variety of skills and abilities. Managers must be able to think strategically, make decisions, motivate and inspire their team, and solve problems. They must also be able to manage their time effectively and be able to work under pressure.

While there are some aspects of management that can be learned through training and experience, there is also a significant element of art to the job. Managers must be able to use their intuition and judgment to make decisions in situations where there is no clear right or wrong answer. They must also be able to adapt their style to the situation and the people they are working with.

Therefore, the best description of the reality of a manager's job is that it is less science than art.

90 Which of the following is not critical for service location?

- ☐ a. Quality of management
- ☐ b. Quality of the competition
- ☐ c. Raw material
- ☐ d. Competition in the area

The correct answer is: c. Raw material.

The quality of management, the quality of the competition, and the competition in the area are all critical factors in determining the location of a service. Raw materials, on the other hand, are not as important for service businesses. This is because service businesses typically do not require a lot of raw materials, and they can often source them from a variety of suppliers.

In addition, the cost of raw materials is often a relatively small part of the overall cost of providing a service. Therefore, the quality of management, the quality of the competition, and the competition in the area are all more important factors in determining the location of a service than the quality of raw materials.

91 Strategic thinking encompasses all of the following except,

- ☐ a. Answering 'where are we now'?**
- ☐ b. Formulating strategies**
- ☐ c. Evaluating performance**
- ☐ d. Restraining futuristic orientations**

The correct answer is: Restraining futuristic orientations.

Strategic thinking is a process of developing and implementing long-term plans for an organization. It involves identifying the organization's strengths and weaknesses, as well as the opportunities and threats in the environment. Strategic thinking also involves developing strategies to capitalize on opportunities and mitigate threats.

All of the other options are essential components of strategic thinking. Answering "where are we now" is the first step in strategic thinking. It involves assessing the organization's current situation, including its strengths, weaknesses, opportunities, and threats. Formulating strategies is the next step in strategic thinking. It involves developing long-term plans for the organization. Evaluating performance is the final step in strategic thinking. It involves assessing the organization's progress towards its goals and making necessary adjustments.

Restraining futuristic orientations is not an essential component of strategic thinking. In fact, it can be counterproductive. Strategic thinking should be forward-looking and should focus on identifying and capitalizing on opportunities. Restraining futuristic orientations can prevent the organization from taking risks and pursuing new opportunities.

92 Which one of the following is not an element of house of quality?

- ☐ a. Identify customer wants**
- ☐ b. Technical evaluation**
- ☐ c. Develop importance ratings**
- ☐ d. Technological change**

The correct answer is: Technological change.

A House of Quality (HOQ) is a planning tool used in product development to identify the customer wants and needs, and to develop technical solutions that meet those needs. The HOQ is a matrix that shows the relationship between customer wants, technical solutions, competitive assessment, and the company's goals.

The four main elements of a HOQ are:

1. Customer wants: These are the features or characteristics that the customer wants in a product.
2. Technical solutions: These are the ways in which the company can meet the

customer wants.

3. Competitive assessment: This is a comparison of the company's products to the products of its competitors.
4. Company goals: These are the goals that the company wants to achieve with its product.

Technological change is not an element of a HOQ. This is because the HOQ is a planning tool that is used to develop products that meet the needs of the customer. Technological change is a factor that can affect the development of a product, but it is not an element of the HOQ itself.